

Part 1: Minimum capital requirements and buffers

48. The global banking system entered the crisis with an insufficient level of high quality capital. The crisis also revealed the inconsistency in the definition of capital across jurisdictions and the lack of disclosure that would have enabled the market to fully assess and compare the quality of capital across jurisdictions. A key element of the new definition of capital is the greater focus on common equity, the highest quality component of a bank's capital.

I. Definition of capital

A. Components of capital

Elements of capital

49. Total regulatory capital will consist of the sum of the following elements:

1. Tier 1 Capital (going-concern capital)
 - a. Common Equity Tier 1
 - b. Additional Tier 1
2. Tier 2 Capital (gone-concern capital)

For each of the three categories above (1a, 1b and 2) there is a single set of criteria that instruments are required to meet before inclusion in the relevant category.⁹

Limits and minima

50. All elements above are net of the associated regulatory adjustments and are subject to the following restrictions (see also Annex 1):

- Common Equity Tier 1 must be at least 4.5% of risk-weighted assets at all times.
- Tier 1 Capital must be at least 6.0% of risk-weighted assets at all times.
- Total Capital (Tier 1 Capital plus Tier 2 Capital) must be at least 8.0% of risk-weighted assets at all times.

B. Detailed proposal

51. Throughout this section the term "bank" is used to mean bank, banking group or other entity (eg holding company) whose capital is being measured.

⁹ As set out in the Committee's August 2010 consultative document, *Proposal to ensure the loss absorbency of regulatory capital at the point of non-viability*, and as stated in the Committee's 19 October 2010 and 1 December 2010 press releases, the Committee is finalising additional entry criteria for Additional Tier 1 and Tier 2 capital. Once finalised, the additional criteria will be added to this regulatory framework.

1. Common Equity Tier 1

52. Common Equity Tier 1 capital consists of the sum of the following elements:

- Common shares issued by the bank that meet the criteria for classification as common shares for regulatory purposes (or the equivalent for non-joint stock companies);
- Stock surplus (share premium) resulting from the issue of instruments included Common Equity Tier 1;
- Retained earnings;
- Accumulated other comprehensive income and other disclosed reserves;¹⁰
- Common shares issued by consolidated subsidiaries of the bank and held by third parties (ie minority interest) that meet the criteria for inclusion in Common Equity Tier 1 capital. See section 4 for the relevant criteria; and
- Regulatory adjustments applied in the calculation of Common Equity Tier 1

Retained earnings and other comprehensive income include interim profit or loss. National authorities may consider appropriate audit, verification or review procedures. Dividends are removed from Common Equity Tier 1 in accordance with applicable accounting standards. The treatment of minority interest and the regulatory adjustments applied in the calculation of Common Equity Tier 1 are addressed in separate sections.

Common shares issued by the bank

53. For an instrument to be included in Common Equity Tier 1 capital it must meet all of the criteria that follow. The vast majority of internationally active banks are structured as joint stock companies¹¹ and for these banks the criteria must be met solely with common shares. In the rare cases where banks need to issue non-voting common shares as part of Common Equity Tier 1, they must be identical to voting common shares of the issuing bank in all respects except the absence of voting rights.

¹⁰ There is no adjustment applied to remove from Common Equity Tier 1 unrealised gains or losses recognised on the balance sheet. Unrealised losses are subject to the transitional arrangements set out in paragraph 94 (c) and (d). The Committee will continue to review the appropriate treatment of unrealised gains, taking into account the evolution of the accounting framework.

¹¹ Joint stock companies are defined as companies that have issued common shares, irrespective of whether these shares are held privately or publically. These will represent the vast majority of internationally active banks.

Criteria for classification as common shares for regulatory capital purposes¹²

1. Represents the most subordinated claim in liquidation of the bank.
 2. Entitled to a claim on the residual assets that is proportional with its share of issued capital, after all senior claims have been repaid in liquidation (ie has an unlimited and variable claim, not a fixed or capped claim).
 3. Principal is perpetual and never repaid outside of liquidation (setting aside discretionary repurchases or other means of effectively reducing capital in a discretionary manner that is allowable under relevant law).
 4. The bank does nothing to create an expectation at issuance that the instrument will be bought back, redeemed or cancelled nor do the statutory or contractual terms provide any feature which might give rise to such an expectation.
 5. Distributions are paid out of distributable items (retained earnings included). The level of distributions is not in any way tied or linked to the amount paid in at issuance and is not subject to a contractual cap (except to the extent that a bank is unable to pay distributions that exceed the level of distributable items).
 6. There are no circumstances under which the distributions are obligatory. Non payment is therefore not an event of default.
 7. Distributions are paid only after all legal and contractual obligations have been met and payments on more senior capital instruments have been made. This means that there are no preferential distributions, including in respect of other elements classified as the highest quality issued capital.
 8. It is the issued capital that takes the first and proportionately greatest share of any losses as they occur¹³. Within the highest quality capital, each instrument absorbs losses on a going concern basis proportionately and *pari passu* with all the others.
 9. The paid in amount is recognised as equity capital (ie not recognised as a liability) for determining balance sheet insolvency.
 10. The paid in amount is classified as equity under the relevant accounting standards.
 11. It is directly issued and paid-in and the bank can not directly or indirectly have funded the purchase of the instrument.
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¹² The criteria also apply to non joint stock companies, such as mutuals, cooperatives or savings institutions, taking into account their specific constitution and legal structure. The application of the criteria should preserve the quality of the instruments by requiring that they are deemed fully equivalent to common shares in terms of their capital quality as regards loss absorption and do not possess features which could cause the condition of the bank to be weakened as a going concern during periods of market stress. Supervisors will exchange information on how they apply the criteria to non joint stock companies in order to ensure consistent implementation.

¹³ In cases where capital instruments have a permanent write-down feature, this criterion is still deemed to be met by common shares.

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| 12. | The paid in amount is neither secured nor covered by a guarantee of the issuer or related entity ¹⁴ or subject to any other arrangement that legally or economically enhances the seniority of the claim. |
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| 13. | It is only issued with the approval of the owners of the issuing bank, either given directly by the owners or, if permitted by applicable law, given by the Board of Directors or by other persons duly authorised by the owners. |
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| 14. | It is clearly and separately disclosed on the bank's balance sheet. |
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2. Additional Tier 1 capital

54. Additional Tier 1 capital consists of the sum of the following elements:

- Instruments issued by the bank that meet the criteria for inclusion in Additional Tier 1 capital (and are not included in Common Equity Tier 1);
- Stock surplus (share premium) resulting from the issue of instruments included in Additional Tier 1 capital;
- Instruments issued by consolidated subsidiaries of the bank and held by third parties that meet the criteria for inclusion in Additional Tier 1 capital and are not included in Common Equity Tier 1. See section 4 for the relevant criteria; and
- Regulatory adjustments applied in the calculation of Additional Tier 1 Capital

The treatment of instruments issued out of consolidated subsidiaries of the bank and the regulatory adjustments applied in the calculation of Additional Tier 1 Capital are addressed in separate sections.

Instruments issued by the bank that meet the Additional Tier 1 criteria

55. The following box sets out the minimum set of criteria for an instrument issued by the bank to meet or exceed in order for it to be included in Additional Tier 1 capital.

Criteria for inclusion in Additional Tier 1 capital

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| 1. | Issued and paid-in |
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| 2. | Subordinated to depositors, general creditors and subordinated debt of the bank |
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| 3. | Is neither secured nor covered by a guarantee of the issuer or related entity or other arrangement that legally or economically enhances the seniority of the claim vis-à-vis bank creditors |
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| 4. | Is perpetual, ie there is no maturity date and there are no step-ups or other incentives to redeem |
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¹⁴ A related entity can include a parent company, a sister company, a subsidiary or any other affiliate. A holding company is a related entity irrespective of whether it forms part of the consolidated banking group.

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5. May be callable at the initiative of the issuer only after a minimum of five years:
 - a. To exercise a call option a bank must receive prior supervisory approval; and
 - b. A bank must not do anything which creates an expectation that the call will be exercised; and
 - c. Banks must not exercise a call unless:
 - i. They replace the called instrument with capital of the same or better quality and the replacement of this capital is done at conditions which are sustainable for the income capacity of the bank¹⁵; or
 - ii. The bank demonstrates that its capital position is well above the minimum capital requirements after the call option is exercised.¹⁶
 6. Any repayment of principal (eg through repurchase or redemption) must be with prior supervisory approval and banks should not assume or create market expectations that supervisory approval will be given
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7. Dividend/coupon discretion:
 - a. the bank must have full discretion at all times to cancel distributions/payments¹⁷
 - b. cancellation of discretionary payments must not be an event of default
 - c. banks must have full access to cancelled payments to meet obligations as they fall due
 - d. cancellation of distributions/payments must not impose restrictions on the bank except in relation to distributions to common stockholders.
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8. Dividends/coupons must be paid out of distributable items
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9. The instrument cannot have a credit sensitive dividend feature, that is a dividend/coupon that is reset periodically based in whole or in part on the banking organisation's credit standing.
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10. The instrument cannot contribute to liabilities exceeding assets if such a balance sheet test forms part of national insolvency law.
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¹⁵ Replacement issues can be concurrent with but not after the instrument is called.

¹⁶ Minimum refers to the regulator's prescribed minimum requirement, which may be higher than the Basel III Pillar 1 minimum requirement.

¹⁷ A consequence of full discretion at all times to cancel distributions/payments is that "dividend pushers" are prohibited. An instrument with a dividend pusher obliges the issuing bank to make a dividend/coupon payment on the instrument if it has made a payment on another (typically more junior) capital instrument or share. This obligation is inconsistent with the requirement for full discretion at all times. Furthermore, the term "cancel distributions/payments" means extinguish these payments. It does not permit features that require the bank to make distributions/payments in kind.

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11. Instruments classified as liabilities for accounting purposes must have principal loss absorption through either (i) conversion to common shares at an objective pre-specified trigger point or (ii) a write-down mechanism which allocates losses to the instrument at a pre-specified trigger point. The write-down will have the following effects:
 - a. Reduce the claim of the instrument in liquidation;
 - b. Reduce the amount re-paid when a call is exercised; and
 - c. Partially or fully reduce coupon/dividend payments on the instrument.
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12. Neither the bank nor a related party over which the bank exercises control or significant influence can have purchased the instrument, nor can the bank directly or indirectly have funded the purchase of the instrument
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13. The instrument cannot have any features that hinder recapitalisation, such as provisions that require the issuer to compensate investors if a new instrument is issued at a lower price during a specified time frame
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14. If the instrument is not issued out of an operating entity or the holding company in the consolidated group (eg a special purpose vehicle – “SPV”), proceeds must be immediately available without limitation to an operating entity¹⁸ or the holding company in the consolidated group in a form which meets or exceeds all of the other criteria for inclusion in Additional Tier 1 capital
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Stock surplus (share premium) resulting from the issue of instruments included in Additional Tier 1 capital;

56. Stock surplus (ie share premium) that is not eligible for inclusion in Common Equity Tier 1, will only be permitted to be included in Additional Tier 1 capital if the shares giving rise to the stock surplus are permitted to be included in Additional Tier 1 capital.

3. Tier 2 capital

57. Tier 2 capital consists of the sum of the following elements:
- Instruments issued by the bank that meet the criteria for inclusion in Tier 2 capital (and are not included in Tier 1 capital);
 - Stock surplus (share premium) resulting from the issue of instruments included in Tier 2 capital;
 - Instruments issued by consolidated subsidiaries of the bank and held by third parties that meet the criteria for inclusion in Tier 2 capital and are not included in Tier 1 capital. See section 4 for the relevant criteria;
 - Certain loan loss provisions as specified in paragraphs 60 and 61; and
 - Regulatory adjustments applied in the calculation of Tier 2 Capital.

¹⁸ An operating entity is an entity set up to conduct business with clients with the intention of earning a profit in its own right.